

Mock Test: Mark Scheme

Answers for `Mock_Test.md`. All amounts are in RM. The figures are generated from the Excel answer tabs in `excel/Mock_Test.xlsx`, so they always match the self-marking version.

Award method marks for correct workings even where a later figure is wrong (own figure rule). For written answers, accept other wording that makes the same points.

Section A: Multiple choice (10 marks, 1 mark each)

A (Section A: multiple choice, 10 marks)

Question	Answer
1	A (Debit irrecoverable debts, credit trade receivable)
2	B (Income of RM500)
3	C (RM4,500)
4	D (RM4,000)
5	A (Profit of RM1,500)
6	C (RM7,800)
7	B (Current liability)
8	D (Materiality)
9	B (Cost of sales)
10	C (RM16,000)

Section B: Structured questions (40 marks)

B1 (Section B, Chapter 8: 10 marks)

a) Calculate trade receivables after the write-off, the new allowance and the change in the allowance. (3)

Item	Answer
Trade receivables after the write-off (RM)	44,000
New allowance (RM)	1,760
Increase in the allowance (RM)	260

b) Prepare the journal entries to write off Tan's debt and to record the change in the allowance. (4)

Date	Particulars	Debit	Credit
2025		RM	RM
Dec 31	Irrecoverable debts	1,600	
	Tan		1,600
	<i>(Being debt written off: customer bankrupt)</i>		
Dec 31	Income statement	260	
	Allowance for irrecoverable debts		260
	<i>(Being increase in the allowance)</i>		

c) Show the Statement of Financial Position extract for trade receivables. (3)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Trade receivables	44,000		
Less:	Allowance for irrecoverable debts	(1,760)	42,240	

B2 (Section B, Chapter 10: 10 marks)

a) Calculate the depreciation for 2024 and 2025 and the carrying amount at 31 December 2025. (3)

Item	Answer
Depreciation for 2024 (RM)	12,000
Depreciation for 2025 (RM)	9,000
Carrying amount at 31 December 2025 (RM)	27,000

b) Prepare the Disposal of van account. (5)

Dr Disposal of Van Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
2026			RM	2026			RM
Jan 1	Van	GJ1	48,000	Jan 1	Provision for depreciation	GJ1	21,000
				Jan 1	Bank	CB1	25,000
				Dec 31	Income statement (loss on disposal)	GJ2	2,000
			48,000				48,000

c) State where the loss appears, and name the concept that requires depreciation. (2)

Item	Answer
The loss on disposal is shown as	Expense in the SPL
Concept that requires depreciation	Accruals

B3 (Section B, Chapter 11: 10 marks)

a) Calculate the rent expense, the rent owing, the insurance expense and the insurance prepaid. (4)

Item	Answer
Rent expense (RM)	10,800
Rent owing (RM)	900
Insurance expense (RM)	2,650
Insurance prepaid (RM)	750

b) Prepare the Insurance account for the year. (4)

Dr Insurance Account Cr

Date	Particulars	Folio	Amount	Date	Particulars	Folio	Amount
2025			RM	2025			RM
Jan 1	Balance b/d		400	Dec 31	Income statement	GJ1	2,650
Apr 1	Bank	CB1	3,000	Dec 31	Balance c/d		750
			3,400				3,400
2026							
Jan 1	Balance b/d		750				

c) Show where the rent owing and the insurance prepaid appear. (2)

Statement of Financial Position (extract) at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Current assets			
	Other receivables (insurance prepaid)		750	
Less:	Current liabilities			
	Other payables (rent owing)		900	

B4 (Section B, Chapter 12: 10 marks)

a) Name the concept that applies to each situation. (4)

Item	Answer
Goods taken by the owner are recorded as drawings.	Business entity
A credit sale on 30 December is revenue of that year.	Realisation
The same inventory valuation method is used every year.	Consistency
Staff loyalty is not recorded in the accounts.	Money measurement

b) Goods cost RM3,000. They can be sold for RM2,600 after repairs of RM400. Calculate the net realisable value and the value for inventory, and name the concept. (3)

Item	Answer
Net realisable value (RM)	2,200
Value for inventory (RM)	2,200

Item	Answer
Concept	Prudence

c) Explain the going concern concept and how asset values would change if a business were closing. (3)

Going concern assumes the business will continue trading for the foreseeable future, so assets are shown at cost less depreciation. If the business were closing, assets would be shown at what they would raise if sold now, which is often much lower.

Section C: Financial statements (50 marks)

Suggested marking: 1 mark for each correct line in the statements, 2 marks for the correct profit for the year, 2 marks for a balanced Statement of Financial Position, and marks for headings and layout, up to 25 marks for each statement.

C (Section C, financial statements: 50 marks)

a) Prepare the Statement of Profit or Loss for the year ended 31 December 2025. (25)

Siti Enterprise

Statement of Profit or Loss for the year ended 31 December 2025

	Particulars	RM	RM	RM
	Revenue			125,000
Less:	Sales returns			(2,000)
	Net revenue			123,000
Less:	Cost of sales			
	Opening inventory		9,000	
Add:	Purchases	68,000		
Less:	Purchases returns	(1,500)		
Add:	Carriage inwards	1,200	67,700	
	Cost of goods available for sale		76,700	
Less:	Closing inventory		(10,500)	(66,200)
	Gross profit			56,800
Add:	Other income			
	Discount received		700	
	Rent received		2,750	3,450
				60,250
Less:	Expenses			
	Wages		18,000	
	Rent		8,400	
	Insurance		1,800	
	Electricity		1,900	
	Carriage outwards		800	
	Discount allowed		500	
	Irrecoverable debts		800	
	Increase in allowance for irrecoverable debts		100	
	Depreciation: fixtures		1,500	
	Depreciation: motor vehicle		5,000	
	Loan interest		1,200	(40,000)
	Profit for the year			20,250

b) Prepare the Statement of Financial Position at 31 December 2025. (25)

Siti Enterprise

Statement of Financial Position at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Premises	80,000	-	80,000
	Fixtures	15,000	4,500	10,500
	Motor vehicle	32,000	17,000	15,000
	Total non-current assets	127,000	21,500	105,500
	Current assets			
	Inventory		10,500	
	Trade receivables	16,000		
Less:	Allowance for irrecoverable debts	(800)	15,200	
	Other receivables (insurance prepaid)		600	
	Cash		300	
	Total current assets		26,600	
Less:	Current liabilities			
	Trade payables		9,800	
	Other payables (rent + rent received in advance + interest)		2,150	
	Bank overdraft		2,100	
	Total current liabilities		14,050	
	Net current assets (working capital)			12,550
				118,050
Less:	Non-current liabilities			
	Loan (repayable 2030)			(20,000)
	Net assets			98,050
	Financed by:			
	Capital at start of year			89,800
Add:	Profit for the year			20,250
				110,050
Less:	Drawings			(12,000)
	Capital at end of year			98,050